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PROCEEDINGS OF THE NATIONAL ASSEMBLY MINI PLENARIES

Members of the mini-plenary session met at Committee Room M46 at 10:00.

House Chairperson, Mr W Horn, took the Chair and requested members to observe a moment of silence for prayer or meditation.

APPROPRIATION BILL

Debate on Vote No 8 - National Treasury put:

The MINISTER OF FINANCE: Hon House Chairperson, chair of the Standing Committee on Finance, hon Maswanganyi, hon members, it is an honour to participate in this mini plenary sitting on Budget Vote aid today. Hon members, we meet in a rapidly changing global macroeconomic environment characterised by the

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heightened geopolitical uncertainty and persistent global trade intentions.

A key defining feature of the current environment is the ongoing conflict in the Middle East, which has contributed to rising fuel prices, high fertiliser costs and increasing shipping costs. These developments are intensifying cost of living pressures across economies and compounding inflationary pressures with inflation reaching a concerning 4% by now.

We will recall that over the last three months, in response to this fuel crisis, the National Treasury has made an intervention to ease the burden on consumers by announcing a temporary reduction in the general fuel levy. This has cost approximately R17,2 billion. This is further disrupting an already fragile global economic environment shaped by trade wars and supply chain vulnerabilities.

Throughout these headwinds, the African continent has demonstrated notable resilience. I am going to move fast because I gave myself 10 minutes deliberately as I want to make a mark back. The African continent is already resilient. It is growing at about 4,3%. We projected 1,8% over the medium

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term. We will review these numbers as part of the normal reviewal, which we do towards the Medium-Term Budget Policy Statement.

These global developments, of course - that is why we will have to review the numbers - will have an impact on what we do as National Treasury, on the revenue side, the expenditure side, on debt sustainability and on the overall fiscal framework. The budget we tabled today is about R38 billion or it is increasing from R38 billion to R44,9 billion.

Let me say that increase is largely occasioned by the transfer of the resources which are intended for Metro Trading Services into International Treasury, from Human Settlements. It is quite important to note that somebody may say, "We have given ourselves a higher increase than other departments." That is not the case.

So, what are we going to do with this R44 billion land? We outline that in detail in the APP. Here, with the Metro Trading Services, we have been trying to explain in different presentations. What we are trying to do is to achieve

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efficiencies in municipalities, particularly in their utilities of water, electricity, waste and so on.

We also said at the beginning of when we tabled the budget, we have no intention of increasing any taxes. What we will be focusing on is on efficiency in the system. As we have reported during the budget process about the Ters process, we want to intensify that process to all levels of government. Of particular significance, we want to extend that to all those public entities that are funded by the fiscus, to ensure that all those entities are actually also efficient.

We are also focusing on municipalities, as I have been to municipalities. Municipalities are a great challenge across the board. Each metro has got its own challenge. The degree of the challenges differ from metro to metro, and we are particularly focusing on those metros at the moment. We have given them our particular attention.

However, I must make this point that the municipalities have been accusing me that if they don't pay public and other state entities and government, I deduct money in terms of Section 216. They say I am biased towards the people who owe them

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because I am not deducting from other departments. The DG, in his allocation letter, has said to each and every institution, "If you don't pay the municipalities, we are going to deduct."

To this end, we have tried to quantify what is owed to them. Provincial governments owe municipalities about R14 billion. National departments owe about R8,2 billion. That takes us to R22 billion, which is owed to municipalities. It is our intention to make sure that this money is transferred back to municipalities.

We also want to deal with the infrastructure challenges in water. What is the challenge as I see it? The challenge, as we see it, is twofold. First and foremost is that at the moment the infrastructure is old and dilapidated across the board. The second thing is that we have got a grant system which is all over; it is not integrated. How are we going to make interventions?

We are going to make two interventions in this regard. The first intervention is to consolidate those grants - with data scattered all over the place - into one single grant, which is about R6 million, and begin to make intervention at a

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national level for that conditional grant to deal with the infrastructure challenges that are facing our water situation in the country. It is our view that we need not only to be fixing the leaks; we need to be repairing that infrastructure. In other words, we deal with the source of the problem. That is the challenge we are doing.

As I conclude, there are two other issues I want to mention. It is our intention to work with the municipalities to develop the inner city. Why is this necessary? What we don't want to do with the current development pattern is reinforcing or setting apartheid in concrete. The spatial apartheid development is still being reinforced. What we need is to bring people closer to work by improving the inner-city development. That is a key challenge which we want to do working with the municipalities.

Key to these municipalities, in particular, is our City Support Programme, like working with the City of Johannesburg Municipality. I am pleased that Mayor Xhakaza has announced an inner-city development called for proposal from the private sector to work with them in some of the areas in what we called the Far East Rand in the past, now called Ekurhuleni.

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Hon members, as I indicated, you have seen our APP, which reflects our plans for the year. We operate with about 10 divisions. So, in a speech, even if it is 20 minutes, I cannot cover all of that. We provide that information for you to be able to hold us to account on what we promised in that big document. We are more than happy to account on what we intend doing. Most of our work, as you know, is largely to support what is contained in section 214(2), 214(3) and 227 of the Constitution. I thank you.

Dr M J MASWANGANYI: House Chairperson, Minister Madiba, Deputy Minister Dr Masondo, Deputy Minister Sarupen, hon members of the committee and other Members of Parliament, the executive of the National Treasury, directors-general, your support team and those from the entities, the Standing Committee on Finance supports Budget Vote No 8: National Treasury.

The committee considered the strategic plans and annual performance plans of the National Treasury and its associated public entities led by Minister Godongwana. We support this budget as we celebrate 70 years in honour of the 20 000 women of all races, some with babies on their backs, who marched to the Union Buildings in 1956 to protest the introduction of

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apartheid laws. We also adopted this budget in honour of the youth of June 1976, who protested against apartheid education. As a generation, we cannot allow South Africa to go back to the era where Hendrik Verwoerd reduced blacks to drawers of water and hewers of wood. Our struggle must bring about an end to apartheid relations in all areas of life. The ANC believes in the equal worth of all human beings. We seek to unite South Africans across racial and ethnic differences, taking into account the central role of all blacks, in general, and Africans, in particular, given their exclusion under apartheid.

A conditioning element of a democratic transformation should be a systematic programme to correct the historical injustice and affirm those deliberately excluded under apartheid, based on race, class, and gender. A budget is never just numbers on a page. It is a statement of priorities. It is one of the most direct tools we have to change material conditions and confront the legacy of apartheid. I have to say this, hon Chair, so as to rebut the rising right-wing agenda to push back transformation in the country. Vote No 8 supports economic growth and development, good governance, social progress, and rising living standards through the accountable,

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economically efficient, equitable, and sustainable management of public finances.

As hon Minister Madiba has spoken on local government, let me not repeat. We acknowledge, Tata Madiba, the support that you are giving to local government under difficult circumstances. The Public Investment Corporation, PIC, is one of the biggest entities or corporations in South Africa. Two weeks back, we visited PIC projects. We had an oversight visit. The first one was at Daybreak Foods. The hon Beesley and the hon Seokati were not very happy. However, what is pleasing is that there is a ... What do you call BRP? What does BRP stand for?

An HON MEMBER: Business rescue practitioners.

Dr M J MASWANGANYI: Business rescue practitioners. They are doing good work in that place. They are turning it around, and we are happy about what they are doing. The following day, we had very good progress. We visited Raslouw Private Hospital. I was not even aware of that. There is good work being done there. We also visited one of the biggest portfolios under the PIC, Main Lane.

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Minister and Deputy Minister, who is the chairperson of the corporation, please grow the unlisted portfolio unapologetically. Do that, Deputy Minister. Madiba, on this one, we are not going to compromise. We have been elected by the ANC to grow the unlisted. We cannot always see you going to ... there is nothing wrong with the stock exchange. We need the stock exchange, but the people of Dimbaza must be given support. The people of Nkowankowa must be given support. Industries in Shayandima must be given support by PIC.

Small, medium and micro enterprises are very important. We must say this, Madiba, because there is a right-wing agenda to attack the PIC, and we are not going to allow that. One of that is the voice that you are hearing. So, we are rebutting it in the strongest terms. You have our support with the Deputy Minister in this regard.

Black farmers must be supported, Madiba, in this regard. The SA Revenue Service, Sars ...

The HOUSE CHAIRPERSON (Mr W Horn): Hon member, just hold on. I have a hand here to my right. Hon member, why do you want to be recognised?

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Dr M J BURKE: On a point of order, Chairperson: I heard the speaker refer to somebody in this House as a boy. Can he please clarify? He said: One of the boys you are hearing here. Those are the words he used.

The HOUSE CHAIRPERSON (Mr W Horn): No, I will consult the Hansard. What I heard was: One of the voices you are hearing here. However, I will consult the Hansard and, if necessary, come back.

Dr M J MASWANGANYI: The guilty will run! [Laughter.] So, Madiba, we visited Sars. Sars is doing very good work. The money that we voted for over the past 10 years in terms of modernisation, we saw it in practice. We went down to the data centre. There is good work. We saw live ... They showed us a taxpayer in Giyani who was waiting. They called an official and said: Why is that taxpayer waiting for two minutes? Then they were able to assist. We were exposed to the best technology in the world. Please, let us support Sars. Sars is the backbone of every state. Let us do more, and we are happy. We congratulate Mr Kieswetter. He has done well in the past seven years, and we have welcomed Dr Makhubu. We will continue

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to support Dr Makhubu like we have supported the rest, until the lowest employee of Sars.

The Financial Intelligence Centre is also doing well. They have done well under very difficult circumstances when South Africa was greylisted under the Financial Action Task Force, FATF. Let us make sure that we do not go back to the era of FATF.

The Government Employees Pension Fund, GEPF, is financially strong and one of Africa's largest pension fund administrators, and we are very happy about that. Please deal with the transfer of the Government Pensions Administration Agency to GEPF as you want to consolidate.

The Financial Sector Conduct Authority, Madiba, the issue of financial sector transformation, let us deal with this thing. It cannot be postponed. Let me not go into detail about that because you know about it. The Conduct of Financial Institutions Bill is coming here. We are going to deal with that. Those municipalities that are problematic in terms of pension contributions of members, we have to deal with them, amongst others.

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The Development Bank of Southern Africa was also here. They reported the good work that they are doing and their collaboration with municipalities.

The SA Special Risks Insurance Association, in conclusion, when we went there during COVID-19, it was in terrible distress, but now the portfolio has grown very high, and they are targeting almost R30 billion or so.

Despite all the challenges, we are quite convinced that entities under National Treasury are doing well, save for the Land Bank, where I think you have to intervene. Thanks very much. We support Vote No 8.

Mr D D D VAN ROOYEN: House Chairperson and hon members, I rise on behalf of the MKP to engage Budget Vote No 8: National Treasury at a moment when the majority of South Africans are experiencing serious life hardships.

Increases in fuel prices have caused a massive surge in transport costs, leading to increases in fares for taxis and buses, the key transport modes for the people, mainly the poor. The recent announcement by the Public Utility Transport

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Corporation to hike fares by 10% from 1 June is one typical example. Scholar transport costs and inflation are also on the increase.

As if this is not enough, the so-called Government of National Unity, GNU, National Treasury will be taking away 50% of the R3 per litre relief introduced to soften the blow of the prevailing oil shocks. This means that, as of next month, 150c per litre of petrol will be added to the price of petrol by the so-called GNU National Treasury.

This Vote commits R1,1 trillion, more than R1,1 trillion, for the financial year in question. Yet the question before this House is not whether the numbers add up; it is whether they add up for the poor. Let us be direct. Debt service costs of more than R432 billion consume more than 11 times the entire retained programme allocation of National Treasury. That is R432 billion servicing debt whilst municipalities crumble, whilst township enterprises cannot access finance, and whilst the Land Bank pleads for a R10 billion guarantee and a further R10 billion recapitalisation to drive black farmer empowerment. Spending more on debt and less on empowering our people, as well as growing our economy, is not fiscal

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discipline. It is fiscal captivity that will ensure that our country is trapped in a perpetual debt cycle.

The fiscal trajectory of this Vote tells the same story. Expenditure rises from more than R1,1 trillion in the 2026-2027 financial year to R1,2 trillion in 2028-2029. Yet debt service costs grow from R432 billion to R469 billion. The provincial equitable share increases modestly from R670 billion to R720 billion, barely keeping pace with inflation and population growth. The structural choice is clear. This budget prioritises creditors over communities. This Vote confirms that the neighbourhood development partnership grant is being phased out at the very moment township economies are in need of catalytic investment. As the MKP, we view this as a retreat, not transformation.

We note more than R2 trillion collected by Sars as positive progress, but we must ask who bears the tax burden. The answer is very obvious: the poor. The sophistication of current tax evaders justifies more investment in the Sars modernisation and digitalisation programme. We call for more funding for the Sars modernisation programme, as well as intensified collaboration with other key role-players. The level of

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disintegrated and disorganised silo operations by state entities at our ports of entry is concerning and must be stopped immediately.

The other area of concern is the fact that the Office of the Tax Ombud remains structurally dependent on Sars for procurement, information technology, and human resources. How can the taxpayer watchdog depend on the very institution it must oversee? The MKP demands full institutional independence for the Tax Ombud.

On financial sector transformation, the document offers intentions, Minister, but not measurements. The Financial Sector Conduct Authority projects a R17,445 million budget shortfall, yet there are no concrete targets for black-owned firm participation, rural outreach, or small enterprise access to finance. Transformation, Minister, without targets is rhetoric without results.

The MKP supports the Land Bank recapitalisation but only with binding conditions on transformation, emerging farmer support, and agricultural insurance value chain reform. Unfortunately, this Vote is conspicuously silent on these conditions.

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The MKP cannot support a budget that services debt at the expense of development, that phases out township grants whilst promising transformation, and that tolerates institutional weakness where strength is demanded. We call on this House to demand the following: one, a debt service cost reduction road map with binding targets; two, full independence for the Office of the Tax Ombud; three, binding transformation targets in the financial sector; and four, immediate implementation of the Public Procurement Act with enforceable regulations. I know, Minister, your GNU partners are not happy with this one, but we definitely need to move with speed, with all its gaps, to make sure that the Public Procurement Act is implemented with immediate effect. The people of South Africa deserve a Treasury that serves them, not bondholders or puppets masquerading as leaders.

IsiZulu:

Sithi siyi-MKP, woza, woza 4 November.

English:

Once more, the masses of our people will be voting for a party that does not worship capital. They will be voting for the MKP, the party that is fighting for the restoration of their

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dignity. We hope that the betrayers of our national democratic revolution are ready for another severe step because ...

IsiZulu:

... uzobagwaza uMkhonto. Uzobalethela iminjunju abangayifuni.

English:

So, come 4 November, we urge our people to go out in their numbers and vote for the party that is striving for their dignity, for the restoration of their dignity.

Also, we call on our people, more especially the young people, to go out in their numbers and register to vote because, if you do not register to vote, you cannot vote on 4 November. We definitely commend the support that we received recently over the weekend by youth and students in the Eastern Cape province, where they came in their numbers to listen to the one and only hope for black people in South Africa addressing them in Mthatha, and that was Comrade Gedleyihlekisa Zuma. We appreciate your attendance, and we hope that you heard the message. Go and register so that you are able to vote out those who have betrayed our national democratic revolution. Thank you.

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IsiZulu:

ILUNGU ELIHLONIPHEKILE: Gwaza, Mkhonto!

ILUNGU ELIHLONIPHEKILE: Gwaza, Mkhonto!

Dr M J BURKE: House Chairperson, Minister, the Vote we are considering today includes details on a myriad of entities run by the National Treasury. But my speech - will focus on only one disorganisation- the Public Investment Corporation, PIC. I may not be able to filibuster in this House, but I am able to use 12 minutes I have been given to take you through the chaos of the PIC. Specifically, their unlisted division. This is where pension fund money goes to get stolen, jobs go to get lost and looters go to eat. So, imagine the DA's shock when during the Standing Committee on Finance's deliberations, the ANC called for an increase in spending on unlisted investments by the PIC. Again, it was affirmed today when the chairperson portended to speak on our behalf. I would like to hear from you, Minister, where you stand on this on an executive capacity.

Thanks to a written question submitted by the DA, we know the following. It's a moving target, but as of last year PIC has

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invested around R67 billion in around 130 entities since its inception. It claims that this money has grown by just more than 4% a year. Even if that return is true to be believed, once you factor in inflation there has been no growth.

Pensioners have lost money on these investments like the ANC seems to be losing vote share. We know that at least 78 investments have lost money. One in five have somehow lost all their money as if it was kept under a couch and then stolen.

Because I have 12 minutes, and the ANC wants to increase unlisted spending and pensioners deserve to know what's happening, I will now take you through each and every one of these failures from smallest to largest.

First up, the Pan African Private Equity Fund III. The initial investment was R95,3 million in 2018, and currently valued at R94 million. Like a house in ANC run Johannesburg, it's not kept up with inflation. Then we have Hotdog Café, a R1,7 million investment from 2013 that is worth nothing today. In Africa 50, there was a recent investment of R737 million. Most recent valuation is R4 million less. In the IDF Innovation Fund, a R4,1 million investment made last year, which is now valued at R101 thousand, very innovative. That's

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like going from a Minister of Social Development salary to being unemployed.

At Hlayisani Capital, another recent R54 million investment that has already lost over R6 million. In Alzu Enterprises, there was a R6 million loss. Chairperson, you might want to keep up hill, I've moved on from that point. In Rifuwo/Mathaholo, a R310 million investment made in 2023, and is already down R7,3 million. In the SA SME Venture Capital Fund, invested R112 million last year. It is already valued at R18 million less. In Convergence Partners Communications Infrastructure Fund, an amount of R391 million invested and lost R22,7 million. In Sanari 3S Growth Fund, R197 million invested in 2023, and has lost R29 million already. In Sakhumnotho Properties, R543 million invested, and lost R29 million. In Sun Edison, R34,5 million invested and it now worth R5,3 million. It is R29 million loss. In Bambilli, R30 million invested as recently as 2023, and is listed as worth R3 million. The PIC told us but then sort of denied telling us that they invested R30 million in this experimental company without having done a bank feasibility study. That's like buying a used car without taking it for a test drive, Minister. Who shot Bambilli? We don't know.

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In RTT, R65 million invested, and now worth R36 million. In Mahlako, R377 million invested in 2023, and lost R34 million. Enable Capital, R50 million invested in 2024, and now worth R8,4 million. It was a scam, and not even an investment. In BPCC, R444 million invested, and lost R42 million. In Magae Makhaya, R43 million was invested, and now worth nothing. In Africa Food Security Fund, R198 million was invested and lost R50 million. I think the security part is supposed to be ironic.

In Just Veggies, R81 million was invested, and now worth R26 million. In Kilken-Imbani, R88 million invested, and lost R56 million. In LA Crushers, R59 million was invested, and now worth nothing. In Tshwane Mall, R254 million invested, and lost R59 million. The biggest loss we've seen in Tshwane until the ANC's next election results. In ZAR X, R68 million invested, and now worth nothing. In YALU, R75 million invested, and now worth nothing. In Oceans Hotel, R90 million loss.

In Kathu Solar Park, R90 million evaporated. In Mazwe Financial Services, R104 million was invested, and now worth R2,4 million. Before I go on, it's worth noting that the PIC

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will push back against this list. They will say that a lot of these losses are state capture era losses. Except on this list that I am now giving you, we estimated that there are around 15 investments where money was put in after 2022. That's not a historic investment. In the Johannesburg Housing Company, R151 million invested, and R103 million lost. In Ekuzeni, R118 million invested, and now worth nothing. In Bokpoort, R243 million invested, and lost R126 million.

In Lanseria Airport, R778 million invested, and lost R129 million. Interestingly, the PIC's current CEO was a board member in Lanseria before he became the PIC CEO. In Madibeng, R348 million invested, and lost R130 million. In the SA Workforce Housing Fund, R142 million invested, and the current value is R422 000. In Kelvin Tower, R143 million invested, and now worth nothing. In Zamalwandle Transport Logistics, R152 million invested, and now worth nothing. In TRAC N4, R441 million invested, we lost R161 million of pension money. I know a lot of these names sound like they might be something a celebrity call their children, but I promise you they are real investments.

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In Philiafrica, R175 million invested, and now worth nothing. In TUHF, R318 million invested, and lost R178 million - tough luck. In Touwsriver Community Trust, R346 million invested, and lost R185 million. In AMALOOLOO, R188 million invested, and now worth nothing. Money down the amatoilet [toilets]. In West Africa Emerging Markets Growth Fund, R251 million invested, and lost R189 million. In Futuregrowth Agri-Fund, R200 million invested, and now worth nothing. [Interjections.]

The HOUSE CHAIRPERSON (Mr W Horn): Hon members, if you want to engage in a conversation there is a room outside. Hon Burke, please continue.

Dr M J BURKE: In Grobank Capital, R304 million invested, and lost R208 million. In MEDU III, R256 million invested, and now worth R38,5 million. In Project Dodo, R575 million invested and then R245 million went extinct. This must be hard for you to listen. I can imagine having squandered pensioners' money. I would also feel ashamed but keep it inside.

In the SA Toll Road Company, R376 million invested, and total loss of R247 million. In Concor, R378 million invested, and lost R271 million. Before I continue, the ANC's argument about

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why we need more unlisted investments is because it creates more jobs. My question to this House is how many jobs have been lost by the PIC investing in these scams, Deputy Minister? Kleoss, lost R277 million. In the Schools and Education Impact Fund, R685 million invested, and lost R284 million. In Kansai Plascon, R316 million invested, and now worth nothing. In Educor Property Holdings, R400 million invested and then lost thereafter. In the Housing Impact Fund, R879 million invested, and lost R406 million. Not the impact they were hoping for. In Musa Capital, R450 million invested, and R450 million lost.

In Ethos Private Equity, R741 million invested in 2013, and lost R543 million. In Venda Building Society a combined R592 million invested currently worth nothing. Although I think some of that money may have not gone very far from these buildings. Something we can discuss in a coffee shop, perhaps.

In Neoma Africa Fund III, R721 million invested, and now worth R66 million. The PIC lost a whopping R655 million. You might say they're funding Neoma. In Export Trading Group, R772 million gone. In Allied Holdings, R773 million invested, and now worth nothing. In S&S Oil Refinery, R812 million, now

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worth nothing. In Daybreak Farms, R846 million thrown away. The Independent News and Media, who I have no doubt these are your friends, R949 million invested, and now worth nothing.

Finally, we move to the elephants in the room - the billion rand losses. In Smile Communications, R1,2 billion invested, and now worth nothing. That's one way of turning a smile into a frown. In African Bank, R2,5 billion invested, and now worth R1,3 billion which is R1,2 billion loss. In the SA Mortgage Fund, R9,8 billion invested, and lost R4,3 billion. In Bayport total invested an amount of R5,65 billion, and the current value is R814 million. This is a loss of R4,84 billion. In Belelani, R5,65 billion invested, and now worth nothing. And the largest single loss of all is Sub-Saharan Industrial Holdings, R10 billion invested. Most of that lost in an investment into AfriSam, the cement manufacturer. The current value seems to be zero.

To put all these into perspective a Sudanese businessman could have bought over 25 000 substandard buffalo for that price but never had them delivered. The problem is not going away. The turnaround and value add unit at the PIC. The unit that is meant to deal with these broken investments is under

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capacitated, Deputy Minister. Each year the PIC seems to bring another questionable investment, another compromised official and another year where government pensioners receive tiny pension increases.

We will likely pass this national Budget Vote because there are many other entities within the National Treasury such as the SA Revenue Service, Sars, who do good work and need allocations. But we will not stop using this Vote and this House to hold the PIC to account. Thank you, Chairperson.

Ms O M C MAOTWE: House Chair, the EFF rejects the proposed Budget Vote for the National Treasury. We do so because this is one department over which Parliament conducts the weakest oversight, despite the enormous influence it exercises over the economy, the public spending and the financial sector. There is no proper relationship between the budget allocated to this department and the consequences of its policy failures on society.

But before we deal with the substance of this budget, we must make it clear that we will not allow racist undertones to flourish in this Parliament without being called out. The

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former liberation movement, the ANC, can remain silent because it has already subjected itself to the master, which is the DA. But the EFF will never normalise racism disguised as governance.

In the Standing Committee on Finance during deliberations on this Budget Vote, we were told that recommendations supporting small black-owned businesses must be removed because black businesses are corrupt, as if corruption is based on the skin colour, as if only black people are corrupt and white people are innocent custodians of public morality. According to the DA logic, it was small black-owned businesses that stole over R200 billion through Steinhoff International, including pension money belonging to workers through the Public Investment Corporation, PIC. It was not white directors.

According to the DA, it was black-owned small businesses that forced white executives at Tongaat Hulett, who today stand accused of inflating profits by more than R12 billion. It was black people who forced firms such as Deloitte, KPMG and Ernst & Young to sign fraudulent books and assure society that corporate financial statements were clean while corruption was taking place. Just because the media does not report on white-

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collar corruption with the same energy they do on black people, does not mean it is not happening.

It is precisely this department and its entities, the PIC, Land Bank, Reserve Bank, the Financial Sector Conduct Authority, FSCA, the Independent Regulatory Board for Auditors, IRBA, the Government Employees Pension Fund, GEPPF, and others that should have been at the forefront of fighting corporate corruption and racist assumptions in the economy. Instead, they remain silent because they do not see anything wrong with this reality.

Parliament itself is also failing. In 2018, Parliament held hearings on transformation in the financial sector. Yet, today, there is no implementation triggered, no accountability mechanism and no consequences for failure. Those recommendations are not worth the paper they were written on. There is a broader structural problem here. Parliament has no meaningful institutional capacity to hold the National Treasury accountable, and this is by design. The ANC openly says it does not want to interfere with the Treasury. Yet, this is a department that influences how South Africans spend more than R2,4 trillion annually, regulates banks with assets

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exceeding R6 trillion and oversees institutions such as the PIC with assets of more than R3 trillion under management. The Budget Vote 8 itself amounts to R1,1 trillion in 2026-27, of which R432 billion goes to debt service costs alone. Debt service costs now exceed the return operational budget of the National Treasury by more than 11 times.

Yet despite all this power, there have been no consequences for the failure of the National Treasury to grow the economy. South Africa has suffered years of low growth, deindustrialisation, unemployment above 40% on an expanded definition, collapsing municipalities and deepening inequality.

Everyone gets blamed except the National Treasury. Workers are blamed, municipalities are blamed, state-owned enterprises, SOEs, are blamed and corruption is blamed on black people. But the attitude of austerity and failed macroeconomic policy continues as if nothing has happened. The National Treasury itself admits that debt is projected at more than 75% of GDP, while debt service costs consume over 5% of the GDP. Yet the same Treasury continues to impose fiscal consolidation without resolving the productive crisis of the economy.

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The National Assembly requires two separate committees, one dedicated to processing Money Bills and another dedicated exclusively to oversight over the National Treasury and the broader finance sector. No one disputes this proposal, but there is no political will because the current arrangements protect the Treasury from scrutiny. Then we are expected to debate all of this in a single Budget Vote sitting with some parties allocated only two minutes. That is not oversight, it is a lip service just to tick a box.

We continue to say that the Land Bank must become genuinely transformative and support black farmers across the agricultural value chain because white commercial interests continue to collude against transformation. We continue to say that the Reserve Bank must facilitate transformation in banking, yet black participation in the financial sector remains systematically blocked. We do not know what the Financial Sector Conduct Authority, FSCA, is doing when workers continue to have pension deductions stolen by employers without intervention.

As I conclude, the SA Reserve Bank has made a compelling case for additional funding, modernisation and enforcement

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capacity. The SA Revenue Service, Sars, collected more than R2 trillion in revenue in 2025-26, and achieved 19 out of 20 key performance targets, yet Parliament continues to ignore its funding requests. We say to Sars, do not celebrate surplus collection while capacity remains constrained. Use the available fiscal space to build enforcement capability, to modernise your systems and to combat illicit financial flows until Parliament finally does what is correct, which is to increase your allocation.

The EFF rejects this proposed budget vote for the National Treasury. I thank you.

Mr N M HADEBE: Chair, hon Minister, Deputy Minister and colleagues, the National Treasury constitutes an essential branch of our country's government. It is not simply responsible for South Africa's economic expenditure. Its decisions determine the quality of life that our people lead. We must therefore ensure that allocated funds are used to encourage the sustainable empowerment of our nation's rural and vulnerable citizens.

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The IFP stands ready to take practical steps to uplift rural South Africans while also promoting economic equity in urban areas. In light of our party's commitment to the socioeconomic well-being of South Africa's most vulnerable people, we find it necessary to provide strict oversight of the financial risks laid out in the Treasury's budget.

We note the Treasury's evaluation of the volatile international political landscape and the urgent need to stabilise our domestic economy. We have long advocated increasing South Africa's self-reliance to protect our citizens against global fluctuations. However, we note with concern that this budget does not allocate sufficient resources towards this goal. Stability will remain out of reach while the majority of our national payments are funnelled into existing obligations. Instead, we must increase direct operational spending on services that tangibly benefit our citizens. We cannot continue paying for past shortcomings rather than investing in our country's future.

We are encouraged by the implementation of programmes like the Urban Development Financing Grant, which has funnelled R31,6 billion into upgrading informal settlements and

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maintaining public safety. However, we urge the Treasury to consider the heightened importance of such initiatives in rural areas.

We must ensure that national expenditure is not focused solely on the metropolises but is equitably distributed among all South Africans. We are critical of how this budget approaches the rural economy, particularly in regard to agricultural funding. The Land Bank has immense potential to uplift rural agricultural communities - a sector we have always stated is key to our country's economic stability. However, we note with concern the clear discrepancies in the Land Bank's funding model. Its focus leans towards short-term loans rather than the long-term support required by real agricultural practises.

Additionally, the Land Bank has requested an immense sum of R20 billion from the Treasury. We must scrutinise the trajectory of these funds to ensure the tentative improvements made over the past years are not erased.

We welcome the news that collected R2 trillion in net revenue over the last fiscal year. This is a notable milestone, but we emphasise that extracting tax from the already overburdened

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citizens require absolute transparency. Every rand must be guarded fiercely to serve the public and ensure nothing is lost to systemic inefficiencies.

The IFP supports Budget Vote 8, but maintains that we cannot build a stable economy by continuing to neglect the agricultural industry and rural people that are its backbone. The Treasury must move past safe compromises and take practical action to transform South Africa. I thank you.

Ms S M PETERS: Hon House Chair, the PA rises today in support of Budget Vote 8, National Treasury, the custodian of our nation's finances. This vote is not just about budgets, it is about whether South Africa's money serves the people or continues to be looted by corruption and mismanagement. The Treasury has failed to stop irregular expenditure across government. Billions are lost every year yet accountability is weak. The PA demands that Budget Vote 8 enforce strict financial discipline and ensure that officials responsible for irregular spending face prosecution and not protection.

Wasteful duplication drains resources while communities remain underserved. Programmes overlap, funds are misallocated and

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ordinary South Africans are left without basic services Budget Vote 8 must redirect resources to critical priorities, health, education, housing and infrastructure where they are most needed. Hon Minister, we welcome the intervention of the efficiency in all entities mentioned earlier. Allocations to institutions such as the State Security Agency have been abused through corruption and secrecy. Instead of protecting citizens, funds are used for political surveillance and factional battles.

The PA insists on forensic audits, stronger parliamentary oversight and prosecution for those implicated in corruption. Hon members, Vote 8 must not be a blank check for waste and corruption. It must be a tool to restore integrity, protect our people and rebuild trust in government. The PA stands firm that the treasury must serve the nation, not political allies. On behalf of the PA, Vote 8 must be the guardian of public funds. Corruption and waste cannot be allowed to bankrupt our democracy. I thank you.

Mr A D BEESLEY: House Chair, regarding the budget before us, Action SA wishes to raise three constructive issues. The first relates to SA Revenue Service, Sars. Recently, I was part of

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Standing Committee on Finance, Scof, delegation that conducted an oversight visit to Sars head office in Pretoria. I was genuinely impressed with what I witnessed and the visit left me proud to be a South African. The professionalism, effectiveness and efficiency of Sars demonstrates what is possible within public institutions when systems are properly led and capacitated.

However, despite this performance, Sars has been underfunded by R43 billion over the past eight years. This is reflected in the tax gap including uncollected assessed tax estimated at between R350 billion and R500 billion. In a country facing severe fiscal constraints and competing spending pressures, we simply cannot afford to leave this revenue uncollected. Since joining the Seventh Parliament, Action SA has consistently argued for increased funding for Sars. Last year, additional funding was allocated and Sars delivered tangible results, collecting over R2 trillion in revenue, R155 billion more than the previous year and R25 billion more than the budget.

The evidence is therefore clear. Investment in Sars yields direct fiscal returns. Any rational approach to revenue mobilisation would support increased funding. There is no

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substantive reason not to. Minister of Finance, as a constructive and rational member of Standing Committee on Finance, Scof, I will be submitting additional proposals on possible funding mechanisms for Sars for your consideration.

The second issue relates to illicit trade. Action SA first raised this matter in the Rates and Monetary Amounts and Amendment of Revenue Laws Bill debate in November 2024. Since then, we have repeatedly highlighted severity, and it is encouraging that there is now broader consensus across this House. It is also welcome that both the Minister and the Medium-Term Budget Policy Statement and the National Budget, and the President in the state of the nation address, Sona have acknowledged the scale of the problem, including the establishment of a National Illicit Economy Disruption Programme. Illicit trade is rapidly expanding drain on the economy, destroying legitimate businesses, costing jobs and eroding the tax base.

Estimates place the size of the illicit economy at approximately R1 trillion with revenue losses to the fiscus exceeding R100 billion per year. Action SA recommends that a dedicated programme be formally established within the

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National Treasury, with a singular focus on combating illicit trade. The national illicit economy disruption programme should be housed there, properly funded and supported by clear KPIs and measurable outcomes. Without a co-ordinated and adequately resourced approach, this problem will continue to escalate and will soon reach systemic proportions.

The third and final issue concerns the Road Accident Fund, Raf. Action SA remains deeply concerned that the RAF now represents a significant and escalating fiscal risk to the state. There is a growing tendency to understate the severity of its financial position. In reality, the RAF is in a state of severe distress, with implications that are becoming more and more serious by the day. Total liabilities are estimated at over R500 billion, with current liabilities of approximately R100 billion. At the same time, assets and cash reserves are effectively negligible. This trajectory is unsustainable and poses a direct risk to the national fiscus if it is not urgently addressed.

Minister, Director-General, decisive intervention is required. The current path is not tenable and delay will only compound the eventual fiscal impact. In conclusion, Action SA wishes to

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commend the Minister, the Deputy Ministers and the Director-General for what is on the whole, a well-run Ministry, department and set of reporting entities. Accordingly, Action SA supports a budget before the House. I thank you.

The DEPUTY MINISTER OF FINANCE (Dr D Maseko): House Chair, firstly I want to agree with hon Maseko that we must be consistent in fighting against corruption and the loss of money, including Steinhoff. It is true that Public Investment Corporation, PIC, has lost money in past, but it is also true that we have recovered R19 billion since I took over as a chair of the PIC. Money was lost, we went after those, we got R19 billion back. So, in your calculation do report that X amount of money, but also do report that X amount of money was recovered.

Secondly, unlisted portfolio constitutes less than 5% of the total portfolio of the PIC, and 95% is in the public or listed space. The global trend, hon Maseko, is that growth is toward 25%. So, if hon Maseko and his friends are saying, no, we should not grow the unlisted assets, it is precisely because he is anti-transformational. I will come back to demonstrate why he is against the growth of the unlisted portfolio. It is

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through this unlisted portfolio that we are able to intervene in the economy, change ownership and control of the economy in order to deal with the colonially accumulated privileges that you are defending through the DA.

We are engaging the Congress of South African Trade Unions, COSATU, on this matter. It is also true that by and large this investment that you are report they were a subject of Mpati Commission. Of course, because in investment you will miss some hit some and miss some, even where we have invested with predominantly white owned asset managers we lost money, but you are silent about it. Enabled capital, we coinvested with predominantly white owned asset managers, but you are quiet about that.

Between the 2022 financial year, when I took over, the asset under management of the PIC was R2,5 trillion, and by March this year it grew to almost R4 trillion. Which basically says that workers are more than R1 trillion richer since we took over as this board.

If you look at the unlisted again ... [Interjections.] ... You are probably blind and that is why you can't see it, but we

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will help you see it. The internal rate of return in the unlisted portfolio has grown by 16%. That means that is you have invested R100 billion you have R16 billion returns just on the unlisted portfolio. What it means is that through this unlisted portfolio, workers are richer and nurses are richer.

The reason why we invest in the unlisted portfolio - Investment 101, Dr Burke - you don't concentrate your money in one asset class; you diversify by investing in the listed and also in the unlisted. What the unlisted portfolio gives you is that you can directly invest in the economy as opposed to just ownership. You also have a right to determine control, the direction of that company, including demanding that these companies need to procure from the black owned suppliers. That is the leverage that it gives us in order to deal with these colonially accumulated privileges that you continue to defend.

Of course, like I said, where we invested with some of the companies that you are not mentioning, we also lost some money in that regard, and we are following those people. We will get the workers' money. We got money from all of them, regardless of race, gender or geographic location that is what we have

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been doing. Speak about this R19 billion that we got back as a consequence of our efforts to get back the workers' money.

The unlisted portfolio also helps us to get access to the quality infrastructure that you may not invest in the public market. We have been investing in infrastructure, student accommodation ... Go to the University of the Western Cape and throughout the country and do a visit, don't limit yourself in your privilege enclave. Go throughout the country and see that the PIC is doing. Don't just sit in your enclave and think that the totality of South Africa is that enclave that you grew up in. South Africa is not the enclave that you grew up in; South Africa has a lot of things, and we are doing a lot of things in so far this is concerned.

Hon members, the modernisation of public service system represent a significant change in strengthening transparency, accountability and good governance. Along with increasing transparency and publication of information and the department ... This is not a PIC Budget Vote debate; it's Vote 8, and we must talk about what we are doing as a department to service our people.

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Along the increasing transparency and publication of information, the department's digitisation initiatives include the development of a government-wide data exchange, MzansiXchange, a single sign-on platform, DigiGov, which includes the modernisation of PERSAL system, an end-to-end electronic government procurement system.

National Treasury, together with other departments, depends on high quality data to support sound decision making and evidence-based policy. Yet, our data remains fragmented and siloed. As a result, it is difficult to access the information across the institution. The MzansiXchange is designed to address this challenge by enabling secure data sharing, real-time cross-reference and verification.

These systems that we are putting in place will help reducing fraud, elimination of double dipping, and improving efficiency within government as a whole. In 2025, as this government, as this National Treasury, we launched the ghost worker and payment irregularity audit using data-driven approach. As part of this effort, we are updating employee records to ensure that government information is accurate, current, reliable

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across national and provincial departments and strengthen the national population register.

We have developed an online verification platform which will go live on 15 June 2026 with the verification process open for two months. National Treasury will ensure that the instruction note that we have issued is implemented. This instruction note forms part of a broader targeted and responsible savings, TARS, initiative. Future phases will include a single-owned tool for public servants, improvement to the payroll system to strengthen controls, prevent irregularities, and improve spending efficiencies.

Modernising financial management practices remains a strategic priority for the department, and phase one of this work has commenced through targeted modernisation of the legacy systems, including the modernisation of the PERSAL system, the automation of annual financial statements.

We, as National Treasury, are also making sure that we finalise the appointment of the retail as well as servicing a bond programme in order to make sure that our people have a

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better platform to save their income in order to spend well in future ... [Time expired.] ... Thank you very much.

Ms L S MAKHUBELA: Chairperson, the fight against corruption, whether it wears a suit in Sandton or sits behind a desk in the state, must be exposed, prosecuted, and defeated. The ANC rebuts the notion that only Small, Medium and Micro Enterprises, SMMEs, that are found in the unlisted portfolio investments are corrupt. I want to remind the hon Berg this morning that it was Steinhoff, which was involved in the major accounting fraud scandal, that was formerly a listed JSE company. It is Tongaat Hulett that is implicated in serious financial reporting and governance failures. It is EOH linked to bribery, tender irregularities, and public sector contract scandals, which must be exposed. You said nothing about those. If you are honest and fair about the issue of corruption, you should also have included those.

The ANC's position is clear. Investment must be channeled even to SMMEs because we have a responsibility to ensure that the state creates employment for the majority of the people that we serve in this Parliament. The ANC does not merely support Budget Vote 8; we champion it as a decisive instrument for

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fundamental economic transformation. The National Treasury's oversight of the financial sector that commands approximately 22% of our gross domestic product, GDP, must no longer be a neutral or technical exercise. The ANC insists that this vast concentration of financial power cannot remain insulated from the urgent task and the need to dismantle it and ensure that there's equality, and it does champion development. The time has come to break decisively with passive oversight as this committee and wage a bold, active struggle for structural intervention in the economy. That is our financial system to serve the people and not merely the minority.

For far too long, South Africa's financial architecture has entrenched the structural injustices of our past. The National Planning Commission's December report on the financial status exposed three fundamental systematic failures that demand nothing less from us than a radical shift. Firstly, it observed that the deliberate expulsion of the poor household from the beating heart of the economy in the financial sector system should be noted; secondly, the outright refusal to mobilize and fuse public and private hybrid investment behind the majority of our people is a cause for concern; and lastly,

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the reckless license granted to private capital to strip wealth without consequence must also be noted.

To effectively tackle inequality, poverty, achieve inclusive growth, industrialization, and job creation, the financial sector must transform. It can no longer be treated as a secondary or a policy issue. We should recognize that this sector is an enabling sector that must be transformed. We must become the central pillar for economic reconstruction and development as the ANC in this Parliament. Therefore, ANC calls for the National Treasury to be focused and to have focused programmes that ensure that we dismantle the architecture of the financial sector. The ANC asserts that the financial sector should serve the broader developmental goals and objectives of the country, which the DA is in the Government of National Unity, GNU, with. Accordingly, the ANC wants to ensure that banks, insurers, investment firms, and the capital markets contribute to productive investment, localization, infrastructure development, and to empower the historically disadvantaged communities. The financial sector assets should not only support listed companies or listed firms but must also provide adequate allocation for unlisted companies and improve credit access to SMMEs. Otherwise, our

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call for radical economic transformation will not be complete if our SMMEs do not get a share in the portfolios and in the investment. And we do so ... [Time expired.] ... Thank you, House Chair. We support Budget Vote 8.

Dr M J MASWANGANYI: Is the DA still in the GNU, or is it an opposition?

The HOUSE CHAIRPERSON (Mr W Horn): No, hon member, you were not recognised. Please do not do that. The next speaker is the hon Zungula.

IsiXhosa:

Mnu. V ZUNGULA: Mandinibulise.

English:

Minister, the Treasury seems to be more occupied with the collection and management of finances instead of the transformation of the economy. The inequalities, unemployment, and poverty require the state to intervene and transform the structure of the economy so that all can join the economy. We do not know why the government is apologetic about advancing the interests of the black majority.

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The apartheid government was intentional about creating wealth for the Afrikaners, and the wealth enjoyed today by the Afrikaners comes from that state intervention. Today, the black government is either apologetic or fearful of transforming the economy. Hence, the inequality, unemployment, and poverty levels have gone up since 1994. The mechanisms are there. However, the issue we have, Minister, is that black government leaders are co-opted into the system. Instead of transforming the system so it benefits everyone, you leave the economic structure of the economy unchanged to the detriment of millions. The country's economy is still characterized by oligopolies, which are a few white companies owned by a few white people dominating over 90% of the market share in all industries. This structure keeps the economy in very few hands, constraining competition and economic growth. Even when you go to government spending, over 80% goes to big white companies, and SMMEs get less than 20%. And even when those SMMEs get business from the government, their invoices are not paid in time, and they must pay bribes for their invoices to be paid.

Next Minister, it is the Public Investment Corporation, PIC, that manages the pensions of millions of black workers, yet

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out of the R4 trillion assets it holds, less than R200 billion is invested in majority black-owned companies. The DA, the enemy of black progress, wants this amount to be lowered. Minister, I want to tell you, you must grow that unlisted portfolio without fail and without fear. Also, the PIC invests in consumerism-driven activities instead of production-driven industries, which is a recipe for disaster. There will be reports that the economy is not creating jobs. How will the economy create jobs when the government is not intentional about funding initiatives that create jobs? The crisis of the South African economy requires the Treasury to drive transformation and job creation, and that will not happen through slogans and catchphrases. It can only happen through deliberate procurement from SMMEs, the PIC funding production-driven initiatives, and a clear programme of action to open the oligopoly-structured economy.

Lastly, as black businesses and black people, we want you, as a black government Minister, to be on our side for once. You must intervene as the Treasury and create a good space for black people to enjoy the economy. Thank you.

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Mr S N SWART: House Chair, the ACDP said after the Budget Speech that the ship of public finances has started to move in the right direction, and that was in February. Much has changed since then, particularly with the dramatic increase in fuel prices since the outbreak of the Middle East conflict earlier this year. And this, when taken with the increase in other costs, including electricity and water, has not only had a negative impact on economic growth prospects but has had a devastating impact on households and businesses. In response, the Minister introduced and extended a temporary general fuel levy relief for petrol and diesel in May. Sadly, this temporary tax reprieve will be halved in June and entirely removed in July.

The ACDP calls on the Minister of Mineral and Petroleum Resources to speedily finalize its promised review of the fuel pricing formula to determine how fuel prices are regulated going forward. And Minister, would you not consider extending the fuel temporary tax reprieve on the fuel price beyond May, pending the review of the fuel pricing formula? The ACDP also commends the Sars for crossing the historic R2 trillion mark in net revenue collection. This is R24,7 billion higher than the 2025 budget forecast. Well done indeed. And we also

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welcome the fact that there are no intended tax increases. At the same time, hard-pressed taxpayers are demanding value for every rand in tax that they pay. This they have largely not received to date, particularly when one considers the dismal state of most of our municipalities, as pointed out by the Minister today.

The ACDP shares the committee's concerns that debt service costs remain one of the largest expenditure items, crowding out expenditure and other much-needed items, including health, education, fighting crime, and infrastructure delivery. In this regard, we note the National Treasury's stated commitment to fiscal sustainability and the maintenance of a primary budget surplus. We remain, however, concerned about the risks posed by lower economic growth, exchange rate volatility, state-owned company support requirements, and the global economic uncertainty.

Lastly, Chairperson, we are concerned, like other members, about the illicit economy, which is estimated to cost the fiscus a staggering R100 billion each year. We would support larger and much greater co-operation between the Sars and law

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enforcement agencies to disrupt and totally shut down illicit trading networks. Thank you, Chairperson.

Dr M A MAIMANE: House Chairperson, first of all, any economy that seeks to develop and grow must rely on an efficient public finance management system. It is in this regard that as South Africans we need to acknowledge where progress has been made.

National Treasury have been able to steer our financial institutions to achieve South Africa being shifted from greylisting to ensure price stability to support our monetary policy, which is the incredible work that is equally being done by the SA Reserve Bank.

Furthermore, to be able to achieve a space where we've been able to introduce fiscal anchors, amend our monetary policy to put new inflation targets. These are significant achievements for ultimately for hon members who keep requesting that we have a conversation about debt servicing costs. It becomes near impossible to be able to do that if you are without an inflation target. Hon Minister, I want to thank you for having heard our cry to be able to extend progressively over a period

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of time the adjustment to the General Fuel Levy. It has been an important intervention in the midst of a global chaos that none of us would have easily predicted or at least even know how long it will go.

But if we're going to achieve lowering of inflation and achieving a certain level of growth, it's going to be important that we perhaps as we adjust and we keep making adjustments for consumers that we be on the side of the citizens, not on the side of politicians. I want to highlight to hon members, equally so, that National Treasury is a centre of excellence in terms of the skills that it has and, therefore, our support for this budget is about the retention of the important skills that sit there. And ...

IsiXhosa:

... Madiba, ndifuna ukucela ...

English:

... please, let us finish that building as soon as possible so that those skilled individuals can work in a place that upholds their level of skill and dignity. But I want to urge, hon members, the next part of economic stability is not just

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stability, it's about efficiency and, therefore, I want to welcome what the SA Revenue Service, Sars, has done and been able to achieve a collection of over R2 trillion. We have to add additional efficiency to make sure we can do that better. But I want to also urge that the nature of the government and its functioning have not been efficient. We have still got agencies, Setas, that are simply ... The Transaction Advisory Services, Tas, needs to be able to achieve a point where it removes those. They are not serving the citizens. It is just another layer where money is being transferred and doesn't achieve the outcomes it seeks to achieve.

Lastly, we need a strengthening of accountability. That is not only limited to National Treasury but to also other sectors of the government but it also requires that National Treasury use the tools that it has. Municipal debt to Eskom is purported to increase to over R3 billion. If we don't deal with metros that are not financially stable, able to deliver, we are going to have further challenges in terms of how we keep stability in our finances, make sure that metros are functioning well.

Therefore, I urge that as we head towards local government elections, we need to elect councillors who know what they are doing and ensure that we can hold them accountable. Minister,

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I support the budget and thank you for the incredible work that you are doing.

Setswana:

Re a leboga.

Ms N A GCALEKA-MAZIBUKO: Hon Chair, ...

IsiZulu:

... mangiqale ngokusho ukuthi, imoto engahambi, yiyo ekhonkothwa izinja. Iyahamba le nqola yenguquko. Iyahamba le nqola yokusekela ama-SMMES. Noma izinja zingayikhonkotha, kodwa okusalayo, iya phambili.

English:

the ANC supports Budget Vote 8 of the National Treasury which increases its support for local government through the implementation of Operation Vulindlela Phase 2. The focus on improving the provision of basic services such as ...

IsiZulu:

... amanzi, ugesi kanye nendle ...

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English:

... through trading services reform, and ring-fencing revenue collected from the services, which will enable municipalities to prioritise maintenance of those services and help municipalities raise funds to sustain the development of those services. Performance-based incentive allocations will ensure a higher quality of spending and realisation of intended outcomes. Investing in basic service infrastructure should contribute to reducing non-revenue water due to water losses and lower the affordability, and reliability of services.

To strengthen local government, the Development Bank of Southern Africa, DBSA, should scale up direct technical and cofinancing support to secondary and under resourced municipalities to unlock bulk infrastructure investment. A major gap is in the capacity to develop a massive pipeline of infrastructure development that is finance ready. The establishment of a new entity, the Infrastructure Finance and Implementation Support Agency, will create new opportunities to support the infrastructure project cycle, adequate resources should be allocated to develop adequate capacity to turn South Africa into a construction site. Hon Minister, ...

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IsiZulu:

... izindleko zokuphila ziphezulu kakhulu futhi ziya ziba phezulu ngamandla. Ukuhlinzekwa kwezidingo zesizingqalasizinda, sithi, ezamahala, sithi, makwande, ikakhulukazi ukwesekwa kwabantu ...

English:

... through the indigent programme, ...

IsiZulu:

... abantu abampofu.

English:

A major reform that will bring significant change in the local government sphere is the White Paper review process, and we call on the public to make their submissions on the draft White Paper to share their lived experiences and knowledge. As the ANC, we call for a paradigm shift, a shift that ensures noncompliance with the Public Finance Management Act and the Municipal Finance Management Act becomes an alien practice. It is the ANC that exposes the corruption. It is the ANC ...

IsiZulu:

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... evule imilomo yenza amakhomishini ukuthi abantu abakhohlakele, noma umhlophe noma umnyama, uyindoda noma umfazi, uvezwe obala.

English:

That is the ANC ...

IsiZulu:

... eyenza ukuthi ...

English:

... even the former oppressor, the DA, ...

IsiZulu:

... ikwazi ukuma la ikhulume ...

English:

... and blame the government. A major area requires focus in strengthening contract management practices in the state and implementing measures that protect the interest of the state to ensure procurement leads to the expected value. The Constitution ...

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IsiZulu:

... yaleli lizwe isigaba u-217 ...

English:

... focuses on procurement. The Constitution is clear in section 217(2) when it says that:

A system which is fair, equitable, transparent, competitive, and cost-effective does not prevent the organs of state or institutions from implementing a policy providing for categories of preference in the allocation of contracts, the protection or advancement of persons or categories of persons disadvantaged by unfair discrimination.

The ANC is committed to ensuring the progressive provision of set-asides for the youth, women, persons with disabilities, military veterans, support for industrial development, SMMEs, and provisions on localisation, ...

IsiZulu:

... amabhizinisi asemalokishini nasemakhaya.

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English:

So, racial quotas are constitutional, ... [Interjections.] ...

The HOUSE CHAIRPERSON (Ms Z Majozi): Hon Mazibuko, can you please take a seat? There is a point of order. Hon Burke.

Dr M J BURKE: House Chair, on a point of order: Will the member take a question?

The HOUSE CHAIRPERSON (Ms Z Majozi): Oh, okay! Don't take a seat. the question is that, will you be able to take a question?

Ms N A GCALEKA-MAZIBUKO: I will take a question outside. Not here.

The HOUSE CHAIRPERSON (Ms Z Majozi): Thank you.

Ms N A GCALEKA-MAZIBUKO: ... and the rationale of the DA is unconstitutional.

IsiZulu:

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Basakholwa ukuthi amabhizinisi okuyiwona awangempela, amabhizinisi abelungu kuphela. Basibuyisela emuva. Asiyi lapho. Bantu bakithi, awucabange nje uma i-DA ingaphatha leli lizwe, yonke le mithetho evuna neseka abantu abekade becindezelekile ...

English:

... would be nullified by the DA. Please, ...

IsiZulu:

... singayibuseli i-DA.

English:

The ANC calls for the implementation of the Public Procurement Act after the finalisation of the regulations.

IsiZulu:

Phambili nge-Public Procurement Act, phambili.

English:

As a nation, we are facing urgent socioeconomic challenges, which are also evident in the public concerns about undocumented immigrants. Despite the need to address these

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challenges, the problem of South Africa, we know, is inequality. That is why we are supporting this Vote today.

IsiZulu:

Sithi kubantu bakithi, ...

English:

... the ANC is steadfast in its call for the transformation of South African economy and the financial sector in particular. The ANC is steadfast in improving the lives of the people of this country, whether they are black or white. This is the ANC for the people.

IsiZulu:

Sithi, kubantu bakithi, ningavumi ukubuyiselwa emuva i-DA. Ningabezwa beme la bebala, bekhuluma ngezinto ngaphandle kwamaqiniso. Amaqiniso achazwe uSekela Ngqongqoshe.

English:

We are saying, Deputy Minister, we are behind you.

IsiZulu:

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Sithi abantu bakithi ababhalise bavotele iqembu eliqhubekayo ngokuletha izinguquko. Eliseke labhekana nezingqinamba nempumelelo, futhi elithi liya phambili ngokuletha uguquko.

English:

Vote for the ANC. Vote for continuous transformation. With those words, ...

IsiZulu:

... Siyabonga.

English:

Thank you very much. We support Budget Vote 8.

The MINISTER OF FINANCE: One of the other trainings that must be completed is political education. Hon Maswanganyi correctly points out that you would think the Government of National Unity, GNU, is on this side, not this side, because those who should be heckling us are the opposition, not our own side.

Let me begin by saying that investment involves both risk and reward. Hon Burke when you list these things without specifying the year, it may seem as if they all happened

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yesterday. That is not the case. What I am saying is that in any given year, you are likely to miss something. Overall, you must address that.

There is a tendency to think that if you go to a listed company - let me just say, I will close the computer now. I just want to quote the beautiful economic research - they have a title in some of their work. Have our retirement funds been misallocated? And they say, and I quote:

To achieve sustainable recovery in investment and growth, South Africa needs to mobilise patient capital on stable, affordable terms. However, in what has been a substantial misallocation of capital, the country's collective savings have been systematically steered over the past 20 years towards equities and offshore investment at the expense of domestic growth, government bonds.

This means is that equities are not necessarily the best options. If you were to take the losses in Steinhoff and compare it with the list ... Aggregate all these things mentioned by hon Burke and compare with the losses in Steinhoff ... Steinhoff has a huge number.

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I raise this point to emphasise that, when we deal with these matters, we must quote and use accurate data. Everyone misinterpreted the statistics.

The dilemma ... If we listen to this argument, there is a campaign suggesting that we should close the Public Investment Corporation, PIC, unlisted entities, and hand them over to private capital. That is the situation. You may end up standing at this podium, acting as a mouthpiece for those advocating this position.

Having said that, we appreciate what has been said about the South African Revenue Service, Sars. It is important, when we talk about the technology used by the Sars, that we are able to translate and implement that across the government system. That is what we are working on at the moment. Some colleagues have argued that there is too much focus on the poor. Sometimes, these statistics are misleading. Let me give you an example.

Regarding income tax, it is important to note that, of the seven million employed taxpayers, only 500 000 contribute 47% of total income tax. Therefore, we should be cautious about

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claiming that the tax burden falls on the poor. On this point, I agree with the MK Party for the very first time. It is because hon van Rooyen was not furious today. Normally he goes to the podium and gets angry. We cannot have the Tax Ombudsman being reliant on Sars. Its independence is crucial. I agree with him on that point.

Some colleagues think you can have your cake and eat it - spend more, ignore the debt-to-GDP ratio, and at the same time reduce debt service costs. It does not work that way. There are colleagues who are criticising us for focusing on debt and related issues. However, you can only reduce debt service costs by addressing the debt itself. By doing so, you save resources, which we can then spend on our developmental goals. That is what is happening. Hon Burke disturbed the Deputy Minister. One of the issues that should have been addressed here is our legislative reform. Because of being disrupted he omitted that point and focused on PIC. Hon Maswanganyi has also raised the issue of procurement, and the relevant legislative framework will be presented.

The illicit economy is a critical matter; there is no doubt about that. The director-general is also here and listening to

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your remarks, that there should be capacity within the Treasury to co-ordinate this work. This is an important proposal that we should consider.

When examining the structure of the South African economy, part of the problem is that people often speak as if companies like Anglo American still dominate the economy. However, the economy has changed completely. For example, the PIC alone controls almost 14% of the stock exchange, representing pensioners' funds. No single individual has ever had that level of control over the stock exchange, apart from the PIC. I raise this point because, when we discuss oligopolies and some claim our economy is structured in that way, they are missing the point. We must understand how this economy is changing so that we can respond appropriately to those changes.

There is also the issue concerning Sector Education and Training Authorities, Setas that has been raised. The Setas and the National Financial Aid scheme, NSFAS, are under my scrutiny for reform. There is an interesting report by the respected Economic Research Institute on how the Setas are performing.

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For example, the cost of expenditure on day training for an individual is double that of training a university student. That is not my claim; it is based on research conducted by a reputable institution, the Economic Research Institute. We must therefore use the research to transform these CETAs, which are under my official oversight.

Thank you, hon members, for your contributions and for engaging in a rational discussion today; I appreciate it. Let us continue to have rational discourse. Let us not fight. Let us remain calm and present the facts. Therefore, I ask the members to support the budget Vote. Thank you.

Debate Concluded

The mini-plenary rose at: 11:43.